

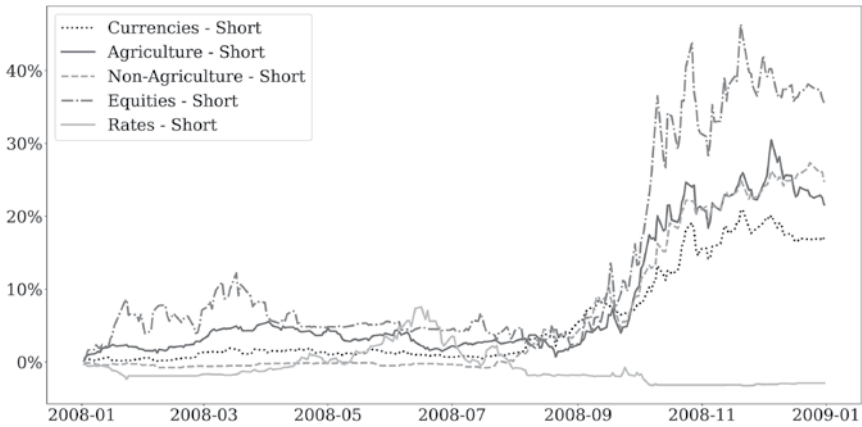


FIGURE 6.41 Short sector performance 2008.

The short side is where the action was, and from September on, we saw an absolute bonanza on the short side (Figure 6.41). The rates sector, quite obviously, was the only one not participating, but all other sectors showed outsized gains for us.

The bond markets were skyrocketing this year, and the German Schatz was no exception (Figure 6.42). This was just one of many highly profitable long trades in the sector, and the trend model went long by mid-year and stayed long. The bulk of the gains were made on that amazing September to February period, where the prices just kept moving up.

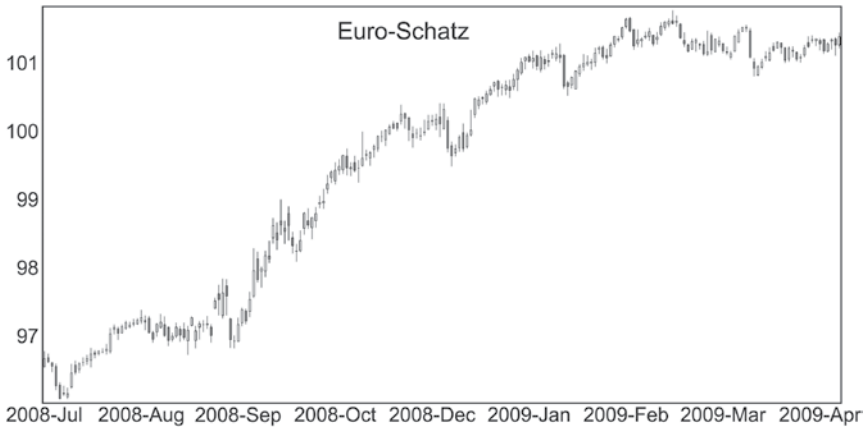


FIGURE 6.42 Extreme trend in German Schatz.